

VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP) DEPARTMENT:

Executive Operations & Leadership **SUBJECT:** The "Leader is Always the Problem"

Department Audit **PURPOSE:** To establish Veluse Agency's operational mandate for diagnosing failing departments, unblocking bottlenecks, and managing underperforming leaders. Before we attempt to fix tactical marketing or AI-infrastructure problems for our Med Spa clients, we must first audit the human capital directing those systems.

PART 1: THE LEADERSHIP MANDATE

If there is ever a problem in an organization, a department, or a line of revenue, you must look directly at the leader 1.

The rule is absolute: The leader is *always* the problem, not sometimes 1. If a function is mediocre, it is because the leader is mediocre, period 1. If a leader is mediocre and inherits a great team, that leader will actively turn the great team into a mediocre team 1, 2. Tactical business advice—like tweaking Med Spa pricing or adjusting sales scripts—is completely useless until you fix the leader problem, because no one will respect or listen to a compromised leader 2, 3.

PART 2: THE DEPARTMENT DIAGNOSTIC AUDIT (THE MANAGEMENT DIAMOND)

When a leader or a team member is failing to execute the outcomes we demand, we do not guess why they are failing. We run them through the Management Diamond (also known as the Performance Diamond) 4, 5.

If someone does not do what you want them to do, you must audit the failure across these specific vectors to isolate the exact constraint 5, 6:

1. Communication: Did they know THAT/WHAT to do? The first and most obvious reason someone fails is that they simply didn't know you wanted them to do it, or there was a miscommunication 5-7. You must define exactly what you are asking someone to do in terms of observable behaviors or outcomes 8, 9. Telling a leader "stop being a jerk" is a terrible directive because it is not an observable action; instead, you must tell them to "nod your head, raise your voice at the end of questions, and call people by their names" 10-12.

2. Training: Did they know HOW to do it? Assuming the leader knew what you wanted them to do, they might have forgotten how or were never properly taught 6, 13, 14. If they do not know how, it is a training deficiency 6. To solve this, you cannot just yell at them on a Zoom call; you must use the "Document, Demonstrate, Duplicate" framework 15, 16. You make a checklist (Document), you do it in front of them (Demonstrate), and they do it in front of you (Duplicate) 15, 17-19.

3. Circumstances: Was something BLOCKING them? If they knew what to do and how to do it, you must investigate if something was legitimately stopping them 20-22. You must understand the difference between an employee making excuses and a circumstance making their life legitimately difficult 20. For example, you could have the best chef in the world who is highly motivated and knows how to make an omelet, but if they have no eggs, they cannot execute 21-23. In business, this often looks like an editing team working slowly because the office internet speed is insufficient—a blocker the CEO must step in and fix 20, 21, 24.

(Note: To complete the diamond, Veluse executives must also audit if the employee knew **WHEN** the task was due by establishing clear deadlines, and if they were **MOTIVATED** to do it by checking the reward and punishment systems in place) 6, 14, 21, 25, 26.

PART 3: THE "HARD CONVERSATION" SCRIPT

Everything you want in your business is on the other side of a few hard conversations that you have been putting off 27, 28. To effectively confront an underperforming leader without triggering their defensive ego, Veluse consultants must understand the difference between an *insult* and a *criticism* 29, 30.

An insult assigns a negative character label (e.g., "you are lazy" or "you are an idiot") which turns the conversation into an emotional attack 29-31. A criticism is simply an observation of reality—it highlights the gap between the stated expectation and the actual outcome 29-31. When executing a hard conversation with an underperforming leader, deploy the following tiered scripts:

Script 1: The Diamond Diagnosis (The High-Potential Reframe) Use this script to place both you and the leader on the same side of the table, attacking the problem rather than their character 32.

- *"I asked to meet because I haven't felt like I've seen a lot of production from you compared to what I think you're capable of. So I'm curious whether it's not knowing what to do, how to do it, that something's preventing you, or if you're not motivated to do the above. Help me help you."* 32, 33.

Script 2: The Collaborative Pivot If a leader's performance has been dropping recently, use this exact phrasing to open the floor for problem-solving rather than character-blaming 34.

- *"Over the last length of time, your task performance has changed from the norm. What do you think has gotten in the way and how can I help?"* 34.

Script 3: The Ultimate Reality Check (The Gap) If the leader is completely out of alignment, making excuses, and failing to drive the necessary revenue or operational changes, you must state the facts and present the ultimatum cleanly 31.

- *"You said you would hit this goal, and this is reality; there's a difference. You are responsible for sales, and we have no sales. This gap is the problem that we have right now. If we did not want to grow this company, we would have no problem. But I do want to grow this company, and you are not currently doing the activities that would grow it. So either you change what you do, or I stop being here."* 31.